DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO 305 W. Colorado Avenue, Telluride, CO 81435 Telephone: (970) 369-3310	DATE FILED November 26, 2024 11:32 AM CASE NUMBER: 2024CV8 Filed in the Combined Courts San Miguel County, Colorado NOV 26 2024 Bryan Yug Clerk of Court
Plaintiffs: Emily Masson v. **Defendants:** The Board of County Commissioners of San Miguel County, Colorado; San Miguel Authority for Regional Transportation; The Board of County Commissioners of Dolores County, Colorado and the Town of Telluride, CO, Town of Mountain Village, CO, a home rule towns, and Friends of the Gondola	▲ COURT USE ONLY ▲
In Pro Per: Emily Masson Address: PO Box 2051, Telluride, CO 81435 Telephone: 970-708-7193 E-mail: emasson@mac.com	Case Number: 2024CV8 Division
WRITTEN STATEMENT FILED UNDER CRS § 1-11-102 TO CONTEST BALLOT ISSUE 3A	

1. Under C.R.S. 1-11-202 and as an eligible voter of San Miguel County, CO and within the SMART district, I wish to challenge the result of the 2024 general election in San Miguel County involving Ballot Measure 3A. I believe there were multiple problems with inappropriate public entity lobbying and failure to follow the law regarding a ballot measure referred to the voters by the San Miguel Authority for Regional Transportation ("SMART") Ballot Issue 3A.

Allowing non-residents in Mountain Village to vote violated the SMART Agreement and State Law

2. In 2016, the SMART District was created in San Miguel County, and on Dec. 5, 2016, an Intergovernmental Agreement ("the Agreement") was recorded at reception #445268. The SMART District includes the Town of Telluride, the Town of Mountain Village, and

unincorporated areas of the Telluride R-1 School district, including the Town of Rico in Dolores County.

3. Mountain Village is unusual because persons who are not full-time residents are allowed to participate in local elections. However, such non-local residents are prohibited from voting in ballot measures that TABOR applies under §20(4)(b) of article X of the State Constitution. The Agreement states as follows:

> **Section 8.04 Future Elections.** Non-resident property owners within the Town of Mountain Village who constitute registered electors within the Town of Mountain Village shall be eligible to vote on future ballot questions arising under §612(1) of the Act (a referendum election to establish or increase any tax authorized by the Act). *However, non-resident property owners shall not be eligible to vote on future ballot questions arising under §612(2) of the Act (a referendum election to create a multiple fiscal year debt or other financial obligation that is subject to §20(4)(b) of article X of the State Constitution).* In recognition of the restriction to be placed on the Town of Mountain Village's non-resident registered electors, which by the terms of this Agreement, shall not be entitled to vote on any question arising under §612(2) of the Act, it is the intent of the Members herein that, to the extent possible, future elections be limited to such issues that recognize and permit the enfranchisement of all registered electors within the boundaries of the Authority, including the non-resident property owners of the Town of Mountain Village.

(Emphasis added.)

4. Not only is this a requirement under the SMART agreement, but it is also State Law:

> (2) No action by an authority creating a multiple fiscal year debt or other financial obligation that is subject to section 20(4)(b) of article X of the state constitution shall take effect unless first submitted to a vote of the registered electors *residing* within the boundaries of the authority; except that no such vote is required for obligations of regional transportation activity enterprises established under section 43-4-606 or for obligations of any other enterprise under section 20(2)(d) of article X of the state constitution.

(Emphasis added CRS § 43-4-612.)

5. On September 5th, 2024, the SMART Board voted to place Ballot Question 3A in San

Miguel County on the 2024 November Ballot. This measure asked voters to support expanding regional public transit service, including long-term operations funding for the Gondola after 2027, and to help fund future bus service expansions and existing bus system capital needs.

6. On October 4th, the Town of Mountain Village, a home rule municipality, announced that resident and non-resident registered voters could vote on ballot question 3A. On October 11, ballots were mailed to resident registered voters as well as non-resident registered voters.

7. The complainant believes allowing non-resident voters to participate in the 3A election violated the direct language of the SMART Agreement and state law.

Lack of requisite Financial Information provided on SMART Website

8. Under CRS 1-7-908, the following information must be posted on the District website (here SMART) and I am informed and believe that SMART did not comply with all the required information being provided.

> (I) The district's ending general fund balance for the last four fiscal years and the projected ending general fund balance for the current fiscal year;
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> (II) A statement of the total revenues in and expenditures from the district's general fund for the last four fiscal years and the projected total revenues in and expenditures from the general fund for the current fiscal year;
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> (III) The amount of any debt or other financial obligation incurred by the district for each of the last four fiscal years for cash flow purposes that has a term of not more than one year and the amount of any such financial obligation projected for the current fiscal year;
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> (IV) A statement as to whether the district's emergency reserve required by section 20(5) of article X of the state constitution has been fully funded by cash or investments for the current fiscal year and each of the last four fiscal years and an identification of the funds or accounts in which the reserve is currently held. If the reserve has not been fully funded, the notice shall include a statement of the reasons the reserve has not been fully funded.
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> (V) The location or locations at which any person may review the district's audited financial statements for the last four fiscal years, any management letters that have been made public and have been provided to the district by its auditors in connection with the preparation of its audits for the last four fiscal years, and the district's budget for the current fiscal year.
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> (b) If the debt or other financial obligation for which the district is seeking voter approval

is to be paid from a revenue source that is accounted for in a fund **other than the district's general fund, the information required by subparagraphs (I) and (II) of paragraph (a) of this subsection (1) shall also be made available for such other fund.**

Unlawful Contributions by Public Entities

9. Under CRS § 1-45-117 the following acts are prohibited for local governments:

> *No agency, department, board, division, bureau, commission, or council of the state or any political subdivision of the state shall make any contribution* in campaigns involving the nomination, retention, or election of any person to any public office, nor shall any such entity make any donation to any other person for the purpose of making an independent expenditure, nor shall any such entity expend any money from any source, or make any contributions, to urge electors to vote in favor of or against any: (B) *Local ballot issue* that has been submitted for the purpose of having a title fixed pursuant to section 31-11-111 or that has had a title fixed pursuant to that section;

(Emphasis added.

10. Under CRS § **1-45-103** (6) (a) "Contribution" shall have the same meaning as set forth in section 2 (5) of article XXVIII of the state constitution.

> (b) "Contribution" includes, with regard to a contribution for which the contributor receives compensation or consideration of less than equivalent value to such contribution, including, but not limited to, items of perishable or nonpermanent value, goods, supplies, services, or participation in a campaign-related event, an amount equal to the value in excess of such compensation or consideration as determined by the candidate committee.
> (c) "Contribution" also includes:
>
> > (I) Any payment, loan, pledge, gift, advance of money, or guarantee of a loan made to any political organization;
> > (II) Any payment made to a third party on behalf of and with the knowledge of the political organization; or
> > *(III) The fair market value of any gift or loan of property made to any political organization.*

(Emphasis added.)

12. Additionally, such electioneering by the Town of Telluride is also prohibited under their home rule municipal code, which reads:

> **Sec. 2-1-110.Political Signs.** Political signs, banners or posters supporting or opposing candidates, ballot issues or ballot questions are not allowed in or on Town of Telluride *public rights of ways*, public buildings or air space and, if so placed, will be confiscated by the Town. However, political signs and posters are allowed on Town of Telluride

kiosks and on private property with permission of the property owner.

(Emphasis added.)

13. The press release issued by the Town of Telluride violated this provision in that it failed to present any discussion by those opposed. The ballot language itself should have included an opposition statement but did not.

14. On October 5, Mountain Village officials announced the placement of "more than just a billboard" advertising a new gondola car that would be possible with the passage of 3A. This billboard was placed on *town public right-of-way* at the entrance of Mountain Village.

15. On or around October 5, the Town of Telluride placed another Gondola Car as a billboard advertising a Yes vote for 3A partially on Town-owned public *right-of-way*. Likewise, the Town of Telluride placed a Yes for 3A sign on a Town-owned residential property called VooDoo, a recently completed affordable housing project, before tenants moved in on November 4. This placement appears to violate both state and local law.

16. On November 3, two days before the election, the Gondola billboard was removed from the Mountain Village public *right of way* after an exchange with local officials on social media.

17. On November 4, the Gondola billboard in the Town of Telluride was covered after residents of the Town of Telluride submitted a formal complaint of violation of the Fair Campaign Practices Act (FCPA), and the clerk responded on November 5, the day of the election.

18. I believe providing public land to support the measure to advertise their viewpoint violates the law.

The ballot language only included a position statement in favor of 3A passage in violation of the law

19. The Colorado Supreme Court explained the requirements for official releases to include both opposition and support positions. In *Coffman v. Colorado Common Cause*, 102 P. 3d 999, 1013 (2004):

> The statutory language of the FCPA unambiguously expresses the general assembly's intent to prevent state agencies and officials from using public funds to influence the outcome of an initiative election. To that end, the FCPA contemplates that when the public funds are used to inform the public about a pending ballot measure, *the information provided must represent both sides of the issue*. Treasurer Coffman opposed Amendment 23 as poor fiscal policy. He was entitled to take that position. However, he could not invoke the machinery of government to support that position — at least to an extent in excess of fifty dollars.

(Emphasis added.)

20. The *Coffman* court also noted that under "subsection 1(b)(I), a state agency may spend unlimited public funds to distribute a 'factual summary,' *which must include 'both arguments for and against the proposal,'* and concerning 'any issue of official concern before the electorate in the jurisdiction,' and 'shall not contain a conclusion or opinion in favor of or against any particular issue.'" (Emphasis added, *Id.* at 1008.)

21. When the TABOR notice was mailed to all voters, it only included an argument *in favor* of 3A and did not include a requisite argument against it. (**Exhibit 6** TABOR Notice.) Under Art. X, Section 3, the following is required under TABOR: "(v) Two summaries, up to 500 words each, one for and one against the proposal, of written comments filed with the election officer by 45 days before the election."

22. The timing of this ballot measure may explain why no opposition was filed: no one was aware of the measure in time to provide an opposition statement, nor does any public entity appear to have reached out to anyone for such a statement. The original vote by the SMART board of directors to place the measure on the ballot occurred on September 5. Comments

against the measure would, therefore, be due 45 days before the election on September Sept. 21.

23. However, the first actual public notice of this measure was the Town of Telluride releasing a press notice that the Telluride Town Council voted to support 3A on September 19, three days before the deadline to submit opposition. The press release does not include any information about those opposed to the measure in violation of the law.

24. The first notice of the measure in the only Town newspaper, Telluride News, occurred on September 28, a week after the time to submit comments against the measure had run.

25. In addition to not including any opposition statement as required by law, the ballot language itself was deceptive. It stated that passage of Ballot measure 3A was required for "providing necessary funding to continue gondola service between Telluride and Mountain Village and prevent a shutdown of the gondola after December 31, 2027."

26. While it is true that the funding agreement is lapsing in 2027, the 3A ballot measure does not make clear that the purpose of the $8.2 million per year is to *replace* the current gondola. That is why the two "new gondolas" advertisements were prominently placed at the only entrances (main roads) that enter the two towns of Telluride and Mountain Village.

27. There is a serious question regarding whether replacement is necessary. Two independent engineering reports prepared for the Telluride Mountain Village Owner's Association (TMVOA) in 2015 and 2016, specifically found that the Gondola had an excellent maintenance history and could operate indefinitely with custom making of parts as needed. It concluded, "Doppelmayr states that due to the past and continued maintenance, along with the capital replacements and upgrades performed, the Mountain Village Gondola system could run

indefinitely." This report was *not* made public, nor were any more current reports prepared. The complainant found both of these reports in archived files online.

28. As stated in this report, frequent replacements and upgrades can be considered *a new system* at some point due to the need to replace all the key parts. Doppelmayr also points out upgrades that can be made to improve comfort and reliability, such as:

_ Evacuation system on ring and pinon drive acting directly onto bullwheel with emergency bearings

_ "level-walk-in" style cabins

_ Various cabin options (seat heating, WIFI, etc.)

_ Dual Loop Derail System (= safeties on towers)

_ Redundant Rope Position Detection (RPD) system

_ Multi Drive and Motor Arrangements

These are all improvements to the system but not **"musts."**

29. The problem with the ballot language is it hides the fact that the $8.2 million per year is to allow the complete replacement of the gondola system with a new one without actually saying so. The issue would have been better presented if the question was whether the voters agreed to the $8.2 million per year increase to replace the current system rather than a lower cost to continue with the current system. Although complete replacement was the clear intent of Ballot Question 3A from statements made by supporters, you would not know it from the ballot language that implied if the total $8.2 million per year was not approved by the voters, the gondola would "shut down."

All 3A Supporter Social Media has been removed

30. As an additional unusual occurrence, it appears that all of the "Friends of the

Gondola" social media content has been deleted (see the Friends of the Gondola website, Instagram, and facebook). While we do not believe removing campaign materials after an election is a violation, it is undoubtedly unusual behavior that prevents a historical review of supporters' statements during the election.

Conclusion

31. In conclusion, because of the improper votes cast by non-resident voters not registered in San Miguel County, Co, the failure by SMART to meet the financial information requirements contained within CRS 1-7-908, the Ballot Notice not including any opposition statement as required by the Constitution Article X, and the violations of the Fair Campaign Practices Act, I respectfully request a nullification of the result of Ballot issue 3A by the clerk of San Miguel County, CO.

32. I declare under penalty of perjury under the laws of Colorado that the foregoing is true and correct". This signifies that the signer is affirming the truth of their statements and could face legal consequences if they knowingly make a false declaration

Dated: 11/25/24

/s/ ______________________

Emily Masson
In Pro Per